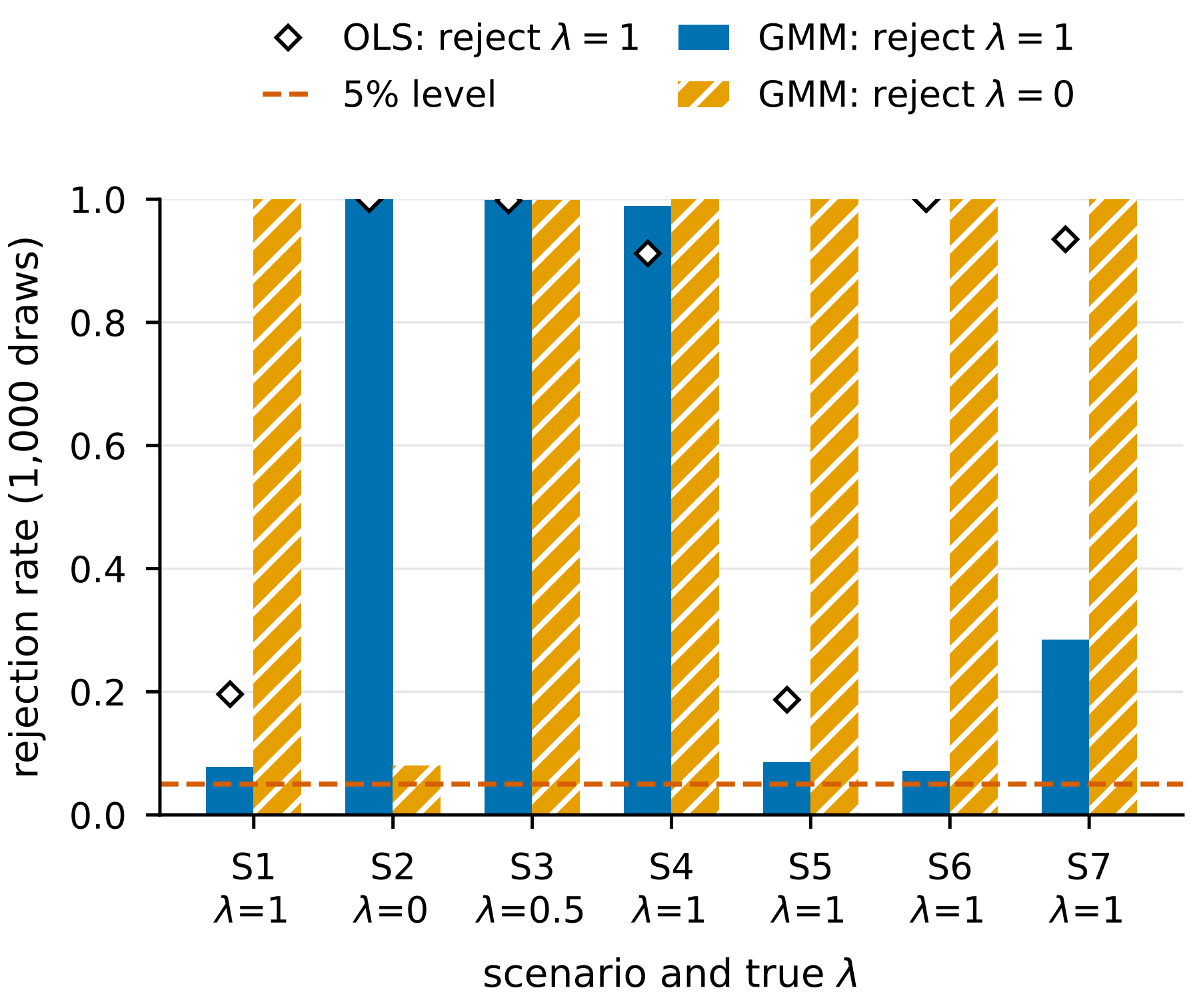
OLS: reject $\lambda = 1$
GMM: reject $\lambda = 1$
5% level
GMM: reject $\lambda = 0$
rejection rate (1,000 draws)
1.0
0.8
0.6
0.4
0.2
0.0
S1 λ=1
S2 λ=0
S3 λ=0.5
S4 λ=1
S5 λ=1
S6 λ=1
S7 λ=1
scenario and true λ